

Microsoft Corporation (MSFT) - Investment Memo

DATE

**October 3,
2026**

PRICE

\$517.53
(close Oct
2)

MARKET CAP

\$3.84T

RECOMMENDATION

Hold

12-MONTH

TARGET

\$530
(+2.4%)

CONVICTION

Medium

1. Recommendation and thesis

Hold. Microsoft's operating results are the best in its history, but at \$517.53 the stock already prices them in. After a roughly 33% three-month rally, our base DCF (\$450) sits below the price, and the probability-weighted DCF is about \$470. We would add below roughly \$450, or after evidence that capex converts to free cash flow.

Testable thesis points:

1. **Azure growth stays at 40% or more through FY27.** Azure grew 43% in Q4 FY26. Management guided to about 45% in constant currency for Q1 FY27 (8-K-EX-2026-09; web: tikr.com). A print below 40% would threaten the premium multiple.
2. **Free cash flow is the weak point, not earnings.** FY26 capex was \$115.95B against operating cash flow of \$182.9B. Free cash flow fell to \$67.0B from \$71.6B even as revenue rose 18% (financial history). Web sources put planned capex at about \$175B, described variously as FY27 or calendar 2026 (Yahoo Finance; the sources conflict). On that, my estimate is that FCF stays near \$65-80B. Watch quarterly FCF, which was \$19.6B in Q4 FY26.
3. **Backlog supports the demand story but is concentrated.** Commercial RPO rose 84% to \$678B, with a weighted duration of about 2.3 years and about 30% recognized within 12 months (10-K-2026-06). The OpenAI share of RPO was not found in the sources I reviewed (n/a).
4. **Reported EPS overstates the run-rate.** FY26 GAAP EPS of \$17.95 includes \$0.67 of OpenAI gains. Non-GAAP EPS was \$17.28 (+22%). Q4 also included a \$3.2B Anthropic gain, part of a \$0.27 EPS benefit from discrete items (8-K-EX-2026-07).

Two-year total return vs the S&P 500



Source: Yahoo Finance, dividend-adjusted.

2. Company overview

Microsoft sells cloud infrastructure and AI (Azure), productivity software (Microsoft 365, Dynamics, LinkedIn, GitHub), Windows, Xbox gaming, and search advertising, mainly to enterprises and consumers. It has about 223,000 employees (profile). Revenue is largely subscription and consumption based.

FY26 revenue by segment (as reported, \$M; 8-K-EX-2026-09):

Segment (FY26 structure)	FY26 revenue	FY26 op income	FY25 revenue	Growth
Productivity & Business Processes	139,996	83,879	120,810	+15.9%
Intelligent Cloud	137,791	56,972	106,265	+29.7%
More Personal Computing	54,052	14,386	54,649	-1.1%
Total	331,839	155,237	281,724	+17.8%

From FY27 Microsoft reports two segments, Agents and Infra and Devices and Consumer. Restated FY26 revenue was \$268.1B and \$63.7B respectively, with operating income of \$136.4B and \$18.9B (8-K-EX-2026-09). Restated Azure is \$101.9B (+40% for FY26). Microsoft Cloud revenue was \$214.4B (+27%) (10-K-2026-06). Microsoft Cloud gross margin was 66% for FY26 (10-K-2026-06), down from 72% three years ago (web: GeekWire).

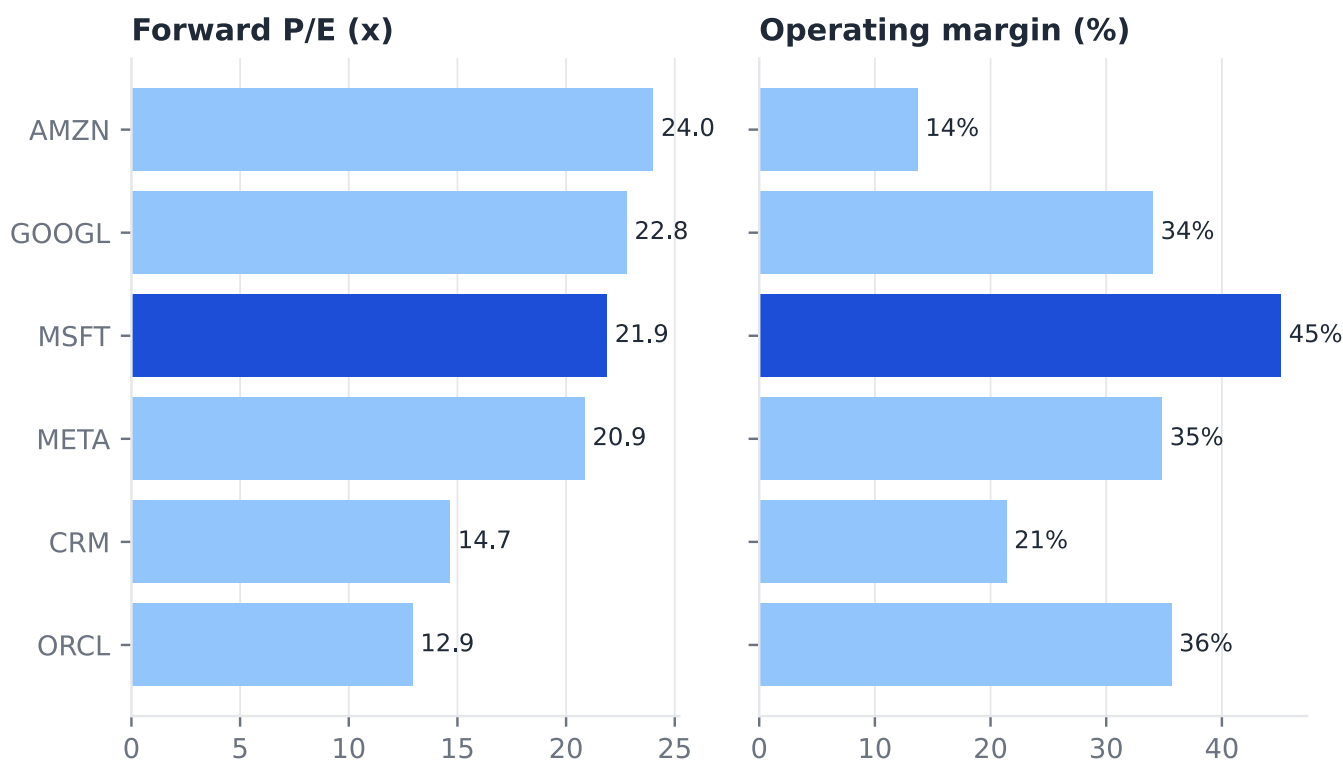
Customer concentration was not verified. OpenAI is both an equity-method investee and an Azure customer, but I did not quantify its share of revenue or RPO (n/a). Geographic mix is n/a.

3. Industry and competitive position

Hyperscale cloud is an oligopoly (Azure, AWS, Google Cloud). Microsoft's moat, in my assessment, is distribution into enterprise seats (6-7% commercial seat growth, 8-K-EX-2026-09), bundling across productivity and security, and a multi-model Azure and Copilot stack. The weaknesses are capacity limits and a shrinking consumer and gaming business. Xbox content fell 10% and Windows OEM and Devices fell 7% in Q4 (8-K-EX-2026-07). Hood has said Azure growth would have been higher if capacity had gone to customers instead of Microsoft's own products (web: GeekWire).

Ticker	Mkt cap	Fwd P/E	TTM P/E	EV/EBITDA	P/S	Rev growth	Op margin	ROE
MSFT	3.84T	21.9	28.6	20.1	11.6	17.7%	45.1%	34.0%
GOOGL	4.20T	22.8	17.2	23.7	9.4	24.2%	34.0%	48.7%
AMZN	2.71T	24.0	20.0	16.8	3.5	19.6%	13.7%	30.6%
ORCL	431B	12.9	22.3	16.5	6.0	29.6%	35.6%	41.2%
META	1.85T	20.9	27.3	17.1	8.1	28.0%	34.8%	29.8%
CRM	193B	14.7	21.5	17.4	4.4	10.8%	21.4%	19.4%

MSFT's forward P/E of 21.9 is close to GOOGL (22.8) and META (20.9) and below AMZN (24.0). Its operating margin is the highest in the group. Its revenue growth is below GOOGL, AMZN, ORCL and META, and above CRM. Peer TTM P/Es may be distorted by investment gains (my inference).



Peers chosen by the agent. Source: Yahoo Finance.

4. Financial analysis

10-year summary (FY ends June; \$B except EPS; EPS is as reported, not split-adjusted; operating margin is my calculation from operating income divided by revenue):

FY	Revenue	Op margin	Net income	EPS	FCF	Capex
2017	96.6	30.0%	25.5	3.25	31.4	8.1
2018	110.4	31.8%	16.6	2.13	32.3	11.6
2019	125.8	34.1%	39.2	5.06	38.3	13.9
2020	143.0	37.0%	44.3	5.76	45.2	15.4
2021	168.1	41.6%	61.3	8.05	56.1	20.6
2022	198.3	42.1%	72.7	9.65	65.2	23.9
2023	211.9	41.8%	72.4	9.68	59.5	28.1
2024	245.1	44.6%	88.1	11.80	74.1	44.5
2025	281.7	45.6%	101.8	13.64	71.6	64.6
2026	331.8	46.8%	133.7	17.95	67.0	116.0

- **Growth:** Revenue CAGR FY17-26 is about 14.7% (my arithmetic: $(331.8/96.6)^{(1/9)} - 1$). Annual growth was 15.7% in FY24, 14.9% in FY25 and 17.8% in FY26 (my arithmetic). Quarterly revenue across FY26 was \$77.7B, \$81.3B, \$82.9B and \$90.0B.
- **Margins:** Operating margin rose from 41.6% in FY21 to 46.8% in FY26 even as capex climbed. Q4 FY26 operating income was \$40.6B (45.1% margin, my arithmetic). AI infrastructure is pressuring cloud gross margin. Microsoft Cloud gross margin was 66% for FY26 (10-K-2026-06). Management guided to roughly 64% for Q4 (web: GeekWire), and Q1 FY27 guidance is "relatively stable" quarter-on-quarter (8-K-EX-2026-09).
- **Cash conversion:** FY26 FCF was about 50% of net income ($67.0/133.7$, my arithmetic), versus about 92% in FY21 ($56.1/61.3$). Capex is about 35% of revenue, up from about 12% in FY21. Quarterly FCF across FY26 was \$25.7B, \$5.9B, \$15.8B and \$19.6B. Net property and equipment rose to \$313B from \$205B. \$26.7B of purchases were still in accounts payable and \$34.6B was committed for new buildings (10-K-2026-06). Yahoo's TTM FCF of \$16.55B conflicts with the XBRL-derived \$67.0B, which equals the sum of the four quarters. I use the XBRL figure. Reported "capex including leases" was \$41B in Q4 (web: Yahoo Finance) against \$35.8B of cash capex.
- **Balance sheet:** Cash and short-term investments were \$76.8B, down from \$94.6B. Total debt, per Yahoo, was \$128.8B, which appears to include leases. Net debt is about \$52B (my arithmetic: $128.8 - 76.8$). Equity and other investments were \$36.3B (10-K-2026-06). Leverage is modest against \$155B of operating income.

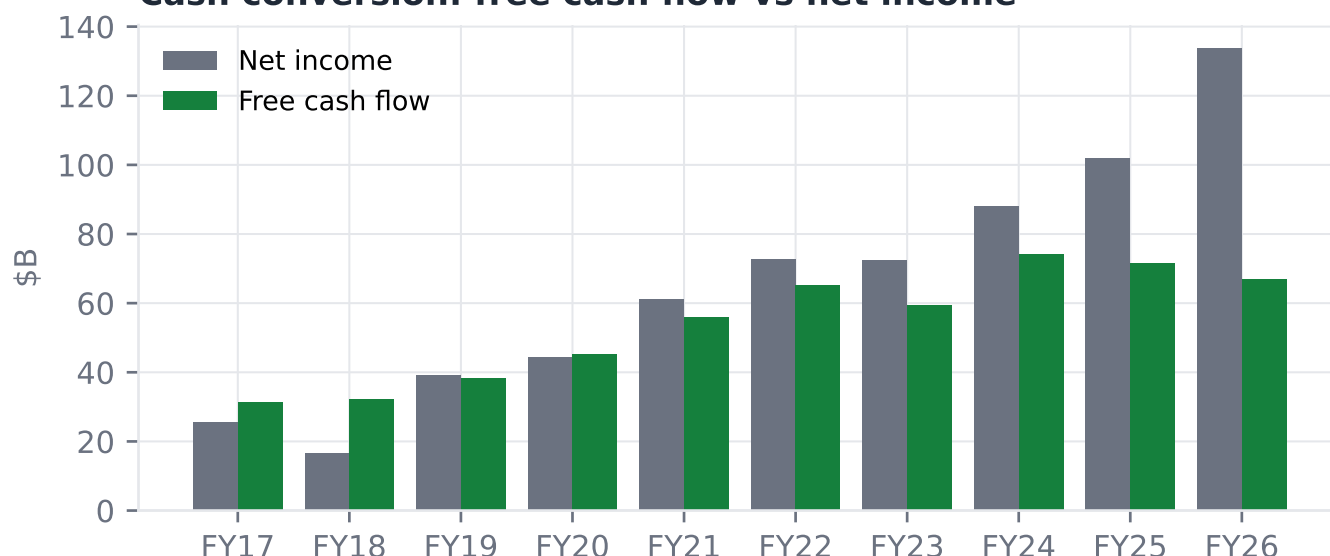
- **Quality-of-earnings flags:**

- OpenAI net gains of \$0.67 per share in FY26, mainly a dilution gain from the October 2025 recapitalization, versus a \$0.49 loss in FY25 (10-K-2026-06).
- Net income grew 31% GAAP but 22% non-GAAP.
- Other income was +\$10.7B versus -\$4.9B in FY25. The effective tax rate was 19%.
- Q4 included a \$3.2B Anthropic gain, plus severance and Xbox impairment charges (8-K-EX-2026-07).
- Per web reports, Microsoft plans to lengthen the useful life of buildings and data centers to 25 years from 15 (siliconangle.com; Yahoo Finance). That lowers future depreciation. It is not a cash change. Yahoo also reported a lower calendar-2026 capex figure (about \$175B versus \$190B) linked to this, while siliconangle says the forecast was reiterated. The sources conflict.
- Depreciation was \$34.3B in FY26, up from \$22.0B (10-K-2026-06). Server and network useful lives had already been extended from 4 to 6 years in FY23 (10-K-2024-06).
- SBC was about \$12.4B in FY26 (sum of four quarters), about 3.7% of revenue (my arithmetic).
- **Latest quarter and guidance:** Q4 revenue of \$90.0B beat the \$87.7B consensus. EPS of \$4.81 GAAP (\$4.74 non-GAAP) beat the \$4.24 estimate (web: Yahoo Finance). Q1 FY27 guidance is revenue of \$89.85-90.95B, operating margin "relatively flat" year on year, and capex "over \$50 billion". Azure is guided to about 45% in constant currency. Windows OEM and Devices is guided to decline in the low twenties percent (8-K-EX-2026-09).



Source: SEC XBRL (10-K as reported).

Cash conversion: free cash flow vs net income



Free cash flow = operating cash flow - capital expenditure. Source: SEC XBRL.

5. Management, governance and capital allocation

- **Leadership:** Satya Nadella is Chairman and CEO and Amy Hood is CFO (8-K-EX-2026-07).
- **Pay:** Over 95% of the CEO's annual target compensation is performance-based. 100% of his equity is performance stock awards, with no time-based awards. The target PSA is \$50M, unchanged since FY22. A relative-TSR modifier adds value only if relative TSR is above the 60th percentile of the S&P 500. There is a 15x salary ownership requirement and a clawback (DEF14A-2025-12). FY25 payouts were 117% of target on the financial component and 151.67% on the operational component of the cash incentive. Incentives line up reasonably well with shareholders, though the operational component is a Board judgment scored well above target.
- **Insiders:** Over 12 months, open-market sales were about \$64.2M (Nadella \$43.4M, Hood \$20.8M) and there were no open-market purchases. Tax withholding was \$68.5M. Many sales are likely 10b5-1 plans (the tool notes this), but no insider buying is a neutral-to-mild negative.
- **Buybacks and dividends:** FY26 buybacks were \$22.3B and dividends \$26.5B, a total of \$48.7B, about 73% of FCF (my arithmetic: 48.7/67.0). Diluted shares are 7.45B versus 7.83B in FY17, so buybacks have mostly offset dilution. The dividend yield is 0.76%.
- **M&A:** Activision Blizzard cost \$75.4B (completed October 2023) (10-K-2026-06). Xbox content and services revenue fell 5% in FY26 and Xbox impairment charges were taken in Q4. The OpenAI and Anthropic stakes are further exposures. With capex at about 35% of revenue, buybacks are a secondary use of cash.

6. Valuation

DCF assumptions (my estimates). Net debt is \$52B and diluted shares are 7.44B. FY26 FCF of \$67B is depressed by growth capex. Normalized FCF is my estimate: operating cash flow of \$183B less mid-

cycle capex of about \$100B is about \$83B, rounded to \$80B for the base case.

	Bear	Base	Bull
Base FCF (\$B)	65	80	95
Growth, years 1-10	12% falling to 4%	22% falling to 7%	28% falling to 8%
Discount rate	10.0%	9.0%	8.5%
Terminal growth	2.5%	3.0%	3.5%
Terminal value share of EV	54%	65%	71%
Value per share	\$182	\$450	\$800
vs \$517.53	-65%	-13%	+55%

Base-case sensitivity (value per share):

Discount rate	2.5% terminal growth	3.0%	3.5%
8%	515	552	598
9%	426	450	478
10%	361	377	396

What the market is pricing: The base DCF reaches the current price only at about an 8-8.5% discount rate with 3% terminal growth, or if FCF follows something close to the bull path. FCF in the base case reaches about \$304B by year 10. This implies that capex converts into a durable FCF step-up after FY27. A DCF is a blunt tool when capex is about 35% of revenue, so I weight multiples equally.

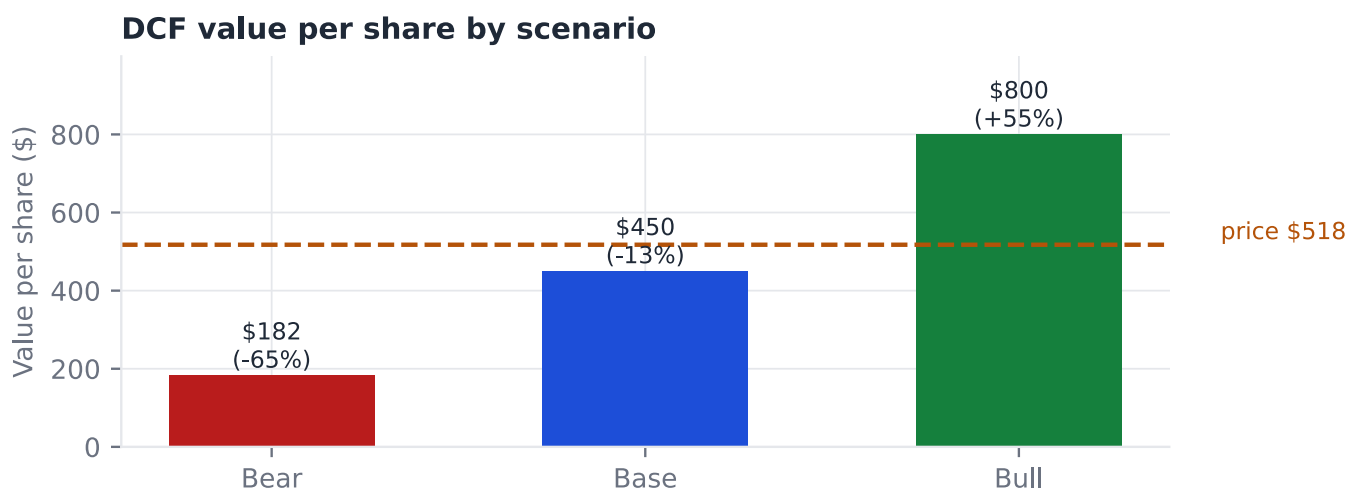
Multiples cross-check (my estimates):

- Consensus FY27 EPS is \$19.75 and FY28 EPS is \$23.65 (analyst estimates).
- At 21.9x forward P/E, the price implies about \$23.65 of forward EPS (517.53/21.9).
- At 24x on my FY28 EPS estimate of \$23.0, the value is \$552. This EPS is slightly below consensus.
- At about 21x (a rounded peer-range forward P/E) on \$23.0, the value is \$483.
- Price to FCF is about 57x on FY26 FCF of \$67B and about 48x on the \$80B normalized figure (my arithmetic: \$3.84T divided by each).

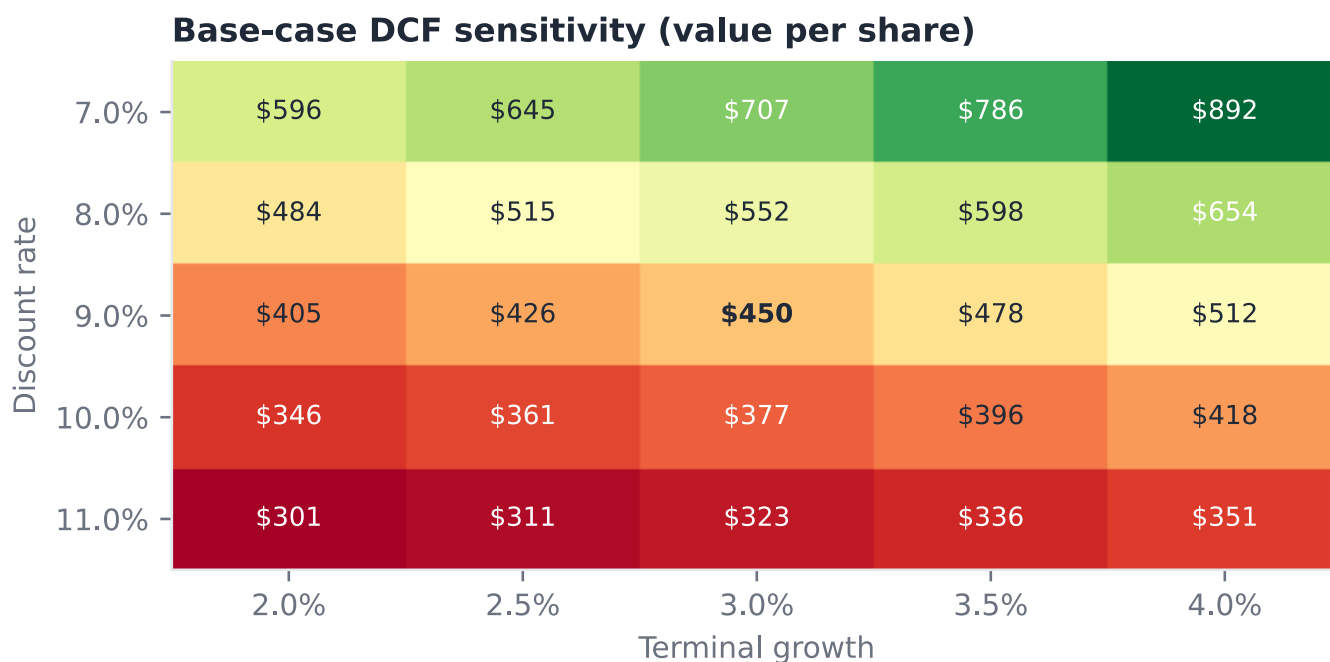
Scenario table:

Scenario	Key assumption	Value/share	vs price	Probability (my estimate)
Bear	Capex stays high, growth fades to 12% then 4%, 10% discount rate	\$182 DCF; \$368 on 16x FY28 EPS of \$23	-65% (DCF); -29% (multiple)	25%
Base	Azure about 40%, FCF normalizes to \$80B	\$450 DCF; \$552 on 24x	-13% to +7%	50%
Bull	Azure 45%+, FCF \$95B, 8.5% discount rate	\$800 DCF	+55%	25%

12-month target: The probability-weighted DCF is $0.25 \times 182 + 0.5 \times 450 + 0.25 \times 800 = \470 . The multiple-based base case is **\$552**. The midpoint is \$511, and I round up to **\$530** (+2.4%) because estimates are being revised up. That does not justify a Buy.



Values recomputed from the agent's DCF inputs.



Green = above the current price, red = below. Centre cell is the base case.

7. Variant perception

- **Consensus:** 54 of 56 analysts rate Buy or Strong Buy, 2 rate Hold, and none rate Sell. The mean target is \$578.82 (+11.8%), median \$575, and the range is \$440-\$870. FY27 EPS is \$19.75 (+14%) and revenue is \$391.0B (+17.8%). FY28 EPS is \$23.65 (+19.7%) and revenue is \$467.3B. In the last 30 days, 21 analysts revised FY27 EPS up and 8 revised it down. The FY28 EPS estimate rose from \$22.63 to \$23.65 over 90 days.
- **Where we differ:** 1. *FY28 EPS*. I use \$23.0 (estimate) versus \$23.65. My reason is rising depreciation: \$34.3B in FY26 versus \$22.0B, with Q1 FY27 capex guided above \$50B. 2. *FCF*. EPS growth of 14-20% sits alongside FCF that I estimate stays near \$65-80B. That is roughly 48-57x price to FCF. 3. *Quality*. Part of the +32% FY26 GAAP EPS growth was OpenAI and Anthropic gains. Non-GAAP growth of 22% is the better base.
- **Where we agree:** Demand exceeds supply (Hood, via tikr.com), and RPO of \$678B gives visibility. If capacity arrives faster than expected, upside is real. That is why the call is Hold with Medium conviction, not Sell.

8. Key risks and mitigants

1. **AI capex that does not earn its return (highest impact).** Capex was \$116B in FY26 and web sources cite about \$175B planned. Component prices alone added about \$25B (GeekWire). Signal: Azure growth above 40%, Microsoft Cloud gross margin stable, and quarterly FCF rising above \$20B.

2. **OpenAI and AI-lab concentration.** Commercial bookings guidance is framed "when adjusted for OpenAI contracts in the prior year" (8-K-EX-2026-09). The OpenAI share of the \$678B RPO is not disclosed in the sources I reviewed (n/a). Signal: disclosure of that share, and any contract renegotiation.
 3. **Margin compression and accounting choices.** Cloud gross margin is 66% for FY26, down from 72% three years ago, and the planned useful-life extension flattens depreciation. Signal: operating margin falling below the "relatively flat" guidance.
 4. **Valuation and momentum.** The stock is up 33.3% in three months but only 1.2% in one year, against the S&P's 16.2%. The one-year maximum drawdown was -34.5% and volatility is 32.7%. The price is above the 50-day (\$487) and 200-day (\$431) moving averages.
 5. **Consumer and gaming weakness.** More Personal Computing fell 4% in Q4, with Windows OEM and Devices guided to a low-twenties percent decline and Xbox content guided down mid-single digits. Mitigant: it is only about 16% of revenue (my arithmetic: $54.1/331.8$).
 6. **Competition and capacity.** GOOGL, AMZN, ORCL and META all show higher total revenue growth than MSFT in the peer table. Microsoft has said it routes scarce capacity to its own products first (GeekWire). Regulatory and litigation exposures were not reviewed in depth (n/a).
 7. **Liquidity trend.** Cash and short-term investments fell to \$76.8B from \$94.6B while debt including leases is \$128.8B. This is manageable against \$155B of operating income.
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9. Catalysts and timeline

- **Late October 2026 (estimated from prior years' pattern):** Q1 FY27 earnings. Guidance is revenue of \$89.85-90.95B, Azure about 45% and capex over \$50B. Consensus revenue is \$90.66B and EPS is \$4.72. These will be the first results in the new two-segment structure (8-K-EX-2026-09).
 - **Late January 2027 (estimated):** Q2 FY27 earnings. Consensus revenue is \$95.5B and EPS is \$4.82.
 - **Ongoing:** capex guidance from Alphabet and Amazon, OpenAI and Anthropic funding news, and data-center capacity additions.
 - **Fall 2026 (estimated):** the next proxy statement. The last DEF 14A was filed October 21, 2025.
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10. What would change our mind

- **To Buy:** the share price falls below about \$450 (the base DCF), or quarterly FCF exceeds \$25B while capex runs above \$45B, showing conversion. Azure at 45% or more with stable cloud gross margin would also move us.
- **To Sell:** Azure growth falls below 35%, Microsoft Cloud gross margin falls materially below the 64-66% range, capex guidance rises again without a revenue lift, or there is evidence of OpenAI contract cancellation or renegotiation. A material impairment of the OpenAI or Anthropic stakes would also count.

- **Accounting:** any further useful-life extension means earnings must be adjusted downward for comparison.
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Appendix: Sources

Filings reviewed:

- 8-K-EX-2026-07 (8-K exhibit, filed 2026-07-29): Q4 FY26 results, read in part.
- 8-K-EX-2026-09 (8-K exhibit, filed 2026-09-02): FY27 segments and Q1 outlook, read in part.
- 10-K-2026-06 (10-K, filed 2026-07-29): search excerpts.
- 10-K-2025-06 (10-K, filed 2025-07-30): search excerpts.
- 10-K-2024-06 (10-K, filed 2024-07-30): search excerpts.
- 10-Q-2026-03 (10-Q, filed 2026-04-29): search excerpts.
- 10-Q-2025-12 (10-Q, filed 2026-01-28): search excerpts.
- 10-Q-2025-09 (10-Q, filed 2025-10-29): search excerpts.
- DEF14A-2025-12 (DEF 14A, filed 2025-10-21): search excerpts.

Data tools: `get_company_profile`, `get_price_performance`, `get_financial_history`, `get_financial_statements` (income and cash flow, quarterly), `get_analyst_estimates`, `compare_peers`, `get_insider_activity`, `run_dcf` (three scenarios), `search_filings`, `read_filing`.

Web sources:

- geekwire.com/2026/microsoft-earnings-preview-record-ai-spending-and-a-stock-near-a-one-year-low/
- tikr.com/blog/microsofts-capital-spending-doubled-in-a-year-investors-should-be-asking-why
- siliconangle.com/2026/07/29/microsofts-stock-rises-9-strong-azure-revenue-growth-steady-capex-spending/
- finance.yahoo.com/markets/stocks/articles/msft-stock-soars-results-cfo-020603800.html
- finance.yahoo.com/markets/stocks/articles/msft-stock-jumps-3-hours-211238564.html
- finance.yahoo.com/markets/stocks/articles/52-analysts-zero-sells-microsoft-120017987.html
- bloomberg.com/news/articles/2026-07-29/microsoft-reports-quarterly-cloud-revenue-that-beat-estimates

Data caveats: The web sources disagree on whether the roughly \$175B capex figure is for FY27 or calendar 2026, and on whether it was lowered or unchanged. Yahoo's TTM FCF conflicts with the XBRL figure, and I used XBRL. Litigation, regulatory and customer-concentration disclosures were not reviewed in depth.

Fact-check notes

- Corrected FY24 revenue growth from 15.0% to 15.7% (245.12/211.91).
- Corrected FY21 FCF-to-net-income conversion from "100%+" to about 92% (56.1/61.3).

- Corrected the bear-case multiple value from about \$380 to \$368 ($16 \times \$23$). The percentage versus price changed from -27% to -29%.
- Fixed the inconsistent price-to-FCF statement. It is now about 57x on FY26 FCF and 48x on the normalized \$80B.
- Corrected the 64% cloud gross margin reference. GeekWire cited it as Q4 FY26 guidance, not Q1 FY27 guidance, and I removed the "could not reconcile" remark. FY26 cloud gross margin is 66% per the 10-K.
- Removed "no single large external customer", which was unsupported. Customer concentration is now stated as not verified.
- Removed the year from "constraints continue through at least calendar 2026", because the source text was truncated.
- Removed the siliconangle claim about commitments from non-AI-lab clients, because the snippet was truncated and ambiguous.
- Replaced the unsupported claim that Google Cloud, AWS and Oracle grow faster on a smaller base. It now cites total revenue growth from the peer table.
- Replaced "trending the wrong way" on debt with the supported cash decline.
- Relabelled the "FY27 capex about \$175B" statement as conflicting across web sources (FY27 versus calendar 2026, lowered versus unchanged).
- Labelled the useful-life extension as planned, per web reports, instead of completed.
- Labelled the proxy and earnings dates as estimates. I replaced "October 2026 annual meeting cycle" with "fall 2026 (estimated)".
- Changed "peer-median forward P/E of about 21x" to "about 21x (a rounded peer-range forward P/E)", since I did not compute a median.
- Clarified that 10-Qs, prior 10-Ks and the proxy were reviewed through search excerpts only.
- Changed the Hold-to-Buy cloud-margin trigger to a "materially below the 64-66% range" wording and fixed the target to +2.4% in the header.
- Added the second Yahoo URL I used (Q4 EPS beat and capex growth) to the web sources list.